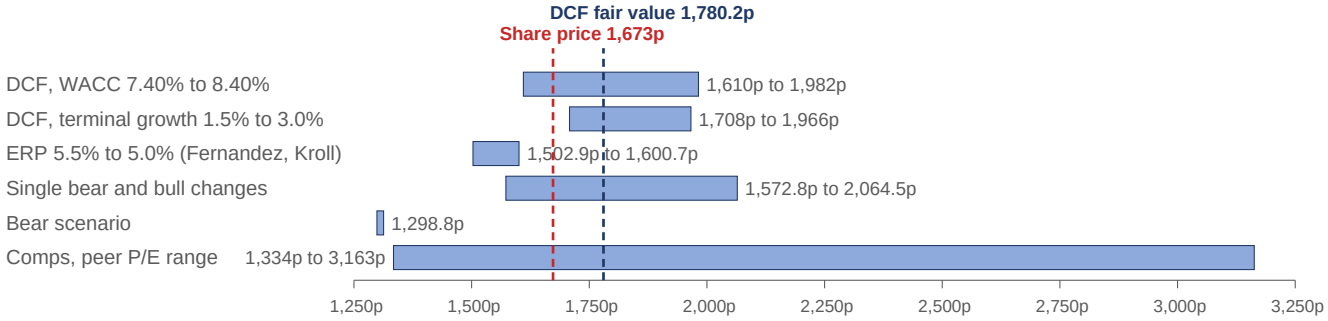
Diageo plc (LSE: DGE)

HOLD	Fair value 1,780.2p	Share price 1,673p (12 Oct 2026)	Upside +6.4%	Bear case 1,298.8p

Desk rating: HOLD (PM confirmed; re-run 15 Oct 2026 after the evidence audit and source check). Rule: BUY at +15% or more, SELL at -10% or worse; no override. **SELL starts at 1,506p, 275p below fair value; BUY starts at 1,924p, 144p above it.** Per-share values are pence per ordinary share (GBp); the DCF is in USD m. Was 1,627.3p on 13 Oct: equity risk premium (ERP) 5.0% to 4.2% +183.5p; shares 2,224m -2.0p, then 2,231m diluted -6.8p; FY30-31 growth 2.0% (was 3.0%) -29.8p; beta 0.9526 from Damodaran's exact industry beta 0.7250 (was a rounded 0.73) +8.1p.



Thesis

- **Fair value is a little above the price, and that rests on the discount rate.** The DCF gives 1,780.2p (USD 23.56), 6.4% above 1,673p. The price implies a WACC of 8.20% (ours 7.90%), or an ERP of about 4.66% (ours 4.2%). At Kroll's 5.0% ERP the value is 1,600.7p, below the price; at the Fernandez survey's 5.5% it is 1,502.9p, a SELL by 3p.
- **Self-help is the whole profit story.** Organic net sales fell 2.0% in FY26 and North America fell 8.4%. The c.USD 1,000m savings plan drives profit growth; we assume 46% of it reaches profit, the low end of FY27-29 guidance.
- **The balance sheet limits the upside.** Leverage is 3.14x against a 2.5-3.0x target and the dividend has been cut. Disposal proceeds (USD 3,318m gross, tax MISSING) had not been received at 30 June 2026.

Valuation

DCF in USD m, valued at 30 June 2026 with mid-year discounting, rolled forward to 12 Oct 2026 at the cost of equity, converted at USD 1.3234 per GBP (FRED, 2 Oct 2026).

- **Growth path:** base net sales USD 18,505.5m (ex-EABL); organic growth 0.0%, 1.5%, 2.5%, 2.0%, 2.0% (FY27-31). FY30-31 was 3.0%, which had no source; the PM set 2.0%, the terminal rate, on 15 Oct 2026.
- **Savings flow-through:** 46% of cumulative savings (USD 377.5m, 962.5m, then 1,000m) reaches operating profit.
- **WACC 7.90%:** risk-free 5.22% (US 10-year, FRED, 8 Oct 2026), beta 0.95 (0.9526, industry bottom-up: Damodaran's global alcoholic beverages 0.7250 relevered at Diageo's D/E), **ERP 4.2%** (Damodaran implied ERP for the S&P 500, 1 Oct 2026; seen only in search summaries, PM to confirm on Damodaran's site; the old 5.0% had no source), cost of equity 9.22%; pre-tax cost of debt 6.22% (risk-free + 1%); debt weight 29.311%.
- **Terminal:** growth 2.0%; terminal capex 6.21% of sales (RONIC 13.4%, the FY26 ROIC). **Terminal value is 76.4% of EV** (above the desk's 75% flag); exit multiple 10.1x FY31 EBITDA vs c.9.78x at market today.
- **Minorities:** 2.566% x EV = USD 1,685m.

Bridge (USD m): EV 65,684 - net debt 20,482 - minorities 1,685 - restructuring cash 850 + associates 5,284 + disposal proceeds 3,318 (gross, tax MISSING) = equity 51,269 at 30 June; 52,561 at 12 Oct; 2,231m diluted shares = **1,780.2p**. No tax is deducted until Diageo discloses it (3.5p per USD 100m). The price is the 12 Oct close, **cum-dividend**: the 30c final dividend (about 22.6p) went ex on 15 Oct, so later prices are not like-for-like. ERP: SELL above 5.48%, BUY below 3.65%. Comps: median P/E 18.5x on four peers implies 2,311p (DCF 23.0% below); P/E only, two peers press-sourced, little weight.

Sensitivity of the DCF value (pence per share, GBp) to WACC and terminal growth (g); base in bold.

Value per share (p)	g 1.5%	g 2.0%	g 2.5%	g 3.0%
WACC 6.90%	2,104	2,226	2,375	2,562
WACC 7.40%	1,889	1,982	2,094	2,230
WACC 7.90%	1,708	**1,780**	1,865	1,966
WACC 8.40%	1,554	1,610	1,674	1,750

Value per share (p)	g 1.5%	g 2.0%	g 2.5%	g 3.0%
WACC 8.90%	1,420	1,464	1,514	1,572

Fundamentals

- **Growth has stalled:** organic growth was 6.5% (FY23), -0.6%, 1.7% and -2.0% (FY26). Africa (13.3%) and Latin America & Caribbean (7.7%) grew.
- **Margins compressed:** operating margin before exceptionals fell from 31.1% (FY22) to 28.9% (FY26).
- **Cash improved:** free cash flow rose from USD 2,235m (FY23) to USD 3,211m (FY26), helped by lower capex (6.1% of sales in FY26).
- **Returns fell:** ROIC went from 18.4% (FY23) to 13.4% (FY26); interest cover fell from 13.6x (FY22) to 7.0x (FY26).

Risks

- **Beta:** we use 0.95 (bottom-up), above all six regressions of Diageo's own shares (0.37 to 0.77). 0.72 gives 2,064.5p (BUY); BUY if beta is below 0.828, SELL above 1.244.
- **Volatility:** 31.6% (1 year) vs 12.5% for the FTSE 100.
- **Drawdown:** maximum -66.8%, from 4,098p (4 Jan 2022) to 1,362p (24 Mar 2026).
- **Leverage:** 3.14x adjusted net borrowings / adjusted EBITDA vs a 2.5-3.0x target. "About 2.6x after the disposals" is a floor: it is before tax on the proceeds and still counts EABL's EBITDA, which leaves with the sale, so true leverage is higher.

Bear case and our response

One single change now flips the rating to SELL: the Fernandez 5.5% ERP. No business challenge does on its own. All values below are pence (GBp). Responses are the PM's: her 13 Oct responses to challenges 1-6 were confirmed, and the open points decided, on 15 Oct 2026.

1. **Flow-through: most savings are reinvested.** 33% gives 1,733.7p, 25% gives 1,705.0p (HOLD). **Response:** 46% is the low end of FY27-29 profit guidance; we will check it against FY27 interim margins.

2. **Terminal returns: ROIC fell 5 points in three years.** RONIC 10.8% gives 1,708.5p; RONIC equal to WACC gives 1,572.8p (HOLD). **Response:** 13.4% is Diageo's lowest ROIC in four years, not a recovery, and FY26 capex (6.1% of sales) is close to the 6.21% the rule implies.

3. **No recovery: both 2023-26 incentive targets missed.** Zero organic growth gives 1,658.2p (HOLD). **Response:** the path is already the low end of guidance; five years of zero growth is our bear scenario, not the base. The unsourced 3.0% for FY30-31 is accepted as too high: it is now 2.0% (-29.8p).

4. **Terminal growth 2% vs falling spirits volumes.** 1.5% gives 1,708.2p (HOLD). **Response:** with 2.35% breakeven inflation, 2% nominal already means a small real decline; the IWSR figures are secondhand.

5. **Cost of capital.** Kroll's 5.0% ERP gives 1,600.7p (1,521.9p with Kroll's 20-year 5.60%, HOLD); the Fernandez 5.5% gives **1,502.9p (SELL)**; beta 1.00 gives 1,730.2p; a 2.0% credit spread 1,701.1p (HOLD). **Response:** our 1% spread is about the BBB average (1.02%, vs 0.69% for A-rated). ERP (PM, 15 Oct 2026): keep 4.2% once it is confirmed on Damodaran's site, and show the Kroll value so readers can see that the upside depends on the ERP. The rating is HOLD at 4.2% and 5.0%, SELL at 5.5%.

6. **USL minority at market** (USD 5,778m with others at book): 1,638.1p (HOLD). **Response:** an upper bound: USL's minority at market but Diageo's 57.21% at the DCF multiple, and the USD 1,328m still includes EABL's 35%.

7. **Data inputs (audit).** Proceeds are gross (-3.5p per USD 100m of tax); the share count ignored dilution. **Response (PM, 15 Oct 2026):** diluted shares accepted and now in the base (2,231m, -6.8p). Proceeds are disclosed as gross, tax MISSING; nothing is deducted until Diageo discloses the tax.

What flips the rating. Alone, only the discount rate: SELL if ERP is above 5.48% or beta above 1.244; BUY if ERP is below 3.65% or beta below 0.828. Otherwise SELL needs a stack: the audit's bear lines with ERP 5.5% (1,445.8p) or with flow-through 33% and beta 1.00 (1,448.9p). A broad business bear at ERP 4.2% gives 1,608.6p, still HOLD but 3.8% below the price.

Open items (MISSING): peer EV/EBITDA and FCF yield, Constellation Brands EPS, calendarised peers, Moet Hennessy fair value, USL net cash, split of the USD 1,328m other minorities, tax on the disposals, UK or global implied ERP, confirmation of the 4.2% ERP at source.

Sources

- Diageo Form 20-F FY26 (SEC accession 0001628280-26-057529): financial statements, p.18, p.22, p.85, p.110, p.164, p.186-189, p.210-211, regional reviews pp.27-31; 20-F FY22-FY25 (SEC EDGAR XBRL).
- Diageo interim results 6-Ks: FY26 (25 Feb 2026, accession 0001654954-26-001518) and FY25 (accession 0001654954-25-001149): first-half free cash flow.
- Diageo Capital Markets Day 6-K, 6 Aug 2026 (SEC accession 0001654954-26-007324): savings plan, guidance, restructuring cash.
- FRED: DGS10 (2026-10-08), DGS20 (2026-10-13), DEXUSUK (2026-10-02), T10YIE breakeven inflation and ICE BofA A, BBB and high-yield option-adjusted spreads (2026-10-08).
- Equity risk premium: Damodaran implied ERP for the S&P 500, 4.20% at 1 Oct 2026 (home page, pages.stern.nyu.edu/~adamodar; seen via search summary only, PM to confirm); Kroll recommended US ERP 5.0%; Fernandez 2025 survey. Evidence pack docs/audit-2026-10-15/erp-evidence.md.
- Yahoo Finance (DGE.L in pence, FTSE 100, peer prices, USL price and shares, KES/USD, INR/USD); Damodaran, Betas by Sector (Global), file betaGlobal.xls dated 5 Jan 2026 (uploaded by the PM): Beverage (Alcoholic), 217 firms, unlevered beta corrected for cash 0.7250.
- Non-filing: EABL FY26 results, RCB sale, Pernod Ricard, Campari and Remy Cointreau results, IWSR (press/company). PM decisions: briefs/DGE.yaml; evidence audit docs/audit-2026-10-15/DGE.md and summary.md; evidence packs in docs/phase3/ and docs/phase4/. Agent outputs: runs/DGE/2026-10-12/.